

Chapter Review

Key Concepts

total revenue (the amount a firm receives for the sale of its output)

total cost (the market value of the inputs a firm uses in production)

profit (total revenue minus total cost)

explicit costs (input costs that require an outlay of money by the firm)

implicit costs (input costs that do not require an outlay of money by the firm)

economic profit (total revenue minus total cost, including both explicit and implicit costs)

accounting profit (total revenue minus total explicit cost)

production function (the relationship between the quantity of inputs used to make a good and the quantity of output of that good)

marginal product (the increase in output that arises from an additional unit of input)

diminishing marginal product (the property whereby the marginal product of an input declines as the quantity of the input increases)

fixed costs (costs that do not vary with the quantity of output produced)

variable costs (costs that vary with the quantity of output produced)

average total cost (total cost divided by the quantity of output)

average fixed cost (fixed cost divided by the quantity of output)

average variable cost (variable cost divided by the quantity of output)

marginal cost (the increase in total cost that arises from an extra unit of production)

efficient scale (the quantity of output that minimizes average total cost)

economies of scale (the property whereby long-run average total cost falls as the quantity of output increases)

diseconomies of scale (the property whereby long-run average total cost rises as the quantity of output increases)

constant returns to scale (the property whereby long-run average total cost stays the same as the quantity of output changes)

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